TEACHER GUIDE

Pearson Edexcel Level 3 Advanced GCE in Business (9BS0)

# Stock control

Theme 2: Managing business activities
**2.4 Resource management · 2.4.3 Stock control**



A revision lesson. Pupils run a car dealership in firms of four and revise stock control on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Stock holding cost

Round 1

Cars wait in your yard.

**Cost of holding the cars?**

| | |
|---|---|
| You hold for them | **10 cars** |
| Holding cost per car a week | **£90** |
| Weeks you hold them | **6 weeks** |

**ANSWER**

**£5,400**

10 × £90 × 6 = £5,400

**Why:** Stock that waits costs £900 every week.

## 2 Risks of JIT

Round 1

You move to just-in-time stock.

**Which two risks rise most?**

- **A** More cash tied up in stock
- **B** Fewer bulk-buying discounts
- **C** More cars go out of date
- **D** A late delivery stops sales
- **E** Higher storage costs

**ANSWER**

**✓ Fewer bulk-buying discounts**
**✓ A late delivery stops sales**

**Why:** JIT frees cash and space, but depends on every delivery and buys in small lots.

## 3 Rank stock turnover

Round 2

Three dealers: cost of cars sold in a year, and average stock.

**Order by stock turnover, fastest first?**

- **A** £600,000 sold, £100,000 stock
- **B** £800,000 sold, £200,000 stock
- **C** £450,000 sold, £50,000 stock

**ANSWER**

1. **£450,000 sold, £50,000 stock**
2. **£600,000 sold, £100,000 stock**
3. **£800,000 sold, £200,000 stock**

**Why:** Turnover: 9, 6 and 4 times a year. The biggest dealer is the slowest.

# Topic tasks

## 4 Stock turnover

Round 2

One model, one year.

**Stock turnover, times a year? Use average stock.**

| | |
|---|---|
| Cost of cars sold in a year | **£167,400** |
| Stock at start of year | **£15,420** |
| Stock at end of year | **£21,780** |

**ANSWER**

**9 times**

(£15,420 + £21,780) ÷ 2 = £18,600; £167,400 ÷ £18,600 = 9

**Why:** The stock is sold and replaced 9 times a year.

## 5 Cut or raise buffer

Round 3

Deliveries now come a week late. A lost sale costs £1,500; one more car in stock costs £80 a week.

**What should you do with buffer stock, and why?**

**A** Cut it to save cash

**B** Raise it

**ANSWER**

✔ **Raise it**

**Why:** A lost sale costs far more than a week's holding cost, so a bigger buffer pays.

## 6 Weeks until reorder

Round 3

When do you order next?

**Weeks until you reorder?**

| | |
|---|---|
| They buy each week | **4 cars** |
| Supplier delivers in | **2 weeks** |
| Buffer, of lead-time sales | **50%** |
| In stock | **28 cars** |

**ANSWER**

**£4**

Lead-time sales 8, buffer 4, level 12; (28 − 12) ÷ 4 = 4

**Why:** A buffer tied to lead time grows when deliveries are slow.

# Final questions

Each pupil answers 6 final questions on stock control. They come from these 8 questions.

Then each pupil writes one short answer: “Analyse how faster stock turnover helps cash flow.”

1 What is the central trade-off when a dealership adopts just-in-time delivery for common parts?
✔ **Lower holding cost, more supply risk**

2 A critical component supplier fails with no warning. Which earlier policy would most likely have reduced impact without necessarily holding maximum stock?
✔ **Tested backup suppliers for critical parts**

3 The cheapest supplier delivers only 72% of orders on time and in full, causing cancellations. What should Operations do?
✔ **Weigh failure cost against price**

4 A workshop uses just-in-time parts supply. Its main supplier shuts for two weeks after a fire. What is the most likely effect?
✔ **No buffer, so jobs stop at once**

5 Your only parts supplier’s lead time rises from two days to nine. Apart from ordering earlier, what else must change?
✔ **More stock must be held, tying up cash and space**

6 A workshop holds 360 oil filters and uses 24 a day. How many days of stock does it hold?
✔ **15 days**

7 Average stock is worth £120,000 and holding costs run at 15% of stock value a year. What is the annual holding cost?
✔ **£18,000**

8 A dealer moves to just-in-time parts delivery. Which risk rises?
✔ **A late delivery stops repairs**